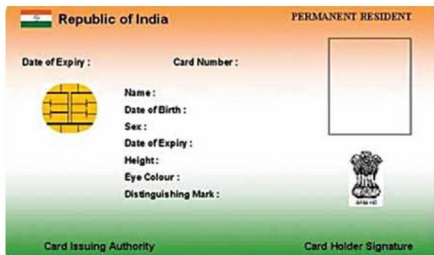


# SMART CARDS

## MAKING A SMART CHOICE

As governments in a violence-ripped world fall back on technology for security, smart cards are poised to drive the next sunrise industry. Currently, the smart card industry has been addressing human-to-human communication and, in a limited way, human-to-machine communication. But in future we can expect machine-to-machine communication to be a dominant application of smart card technology



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**T**hat computer chip-driven small plastic card in your wallet can store your personal data, give you identification and authenticate you as a citizen of India. This single card can act as a credit card, cash card, PAN card, ration card, voter's ID, subscriber identity module (SIM) card and even your passport! Particularly, for a diverse economy like India, with an extended border, security has always been a key issue for the government, and smart IDs can aid government agencies tackle security challenges better.

Being an important identity docu-

ment, the Indian ID issuance authorities are seeking new technologies to improve its security and avoid illegal duplication and frauds. As a result, smart card technology is becoming the first choice in the industry. A smart card is highly secure, and is often combined with higher levels of security such as biometric identification. The Unique Identity Authority of India (UIDAI) is making an attempt to issue a single identity card to all citizens of India above 18 years of age.

### Major applications

Today, smart card applications fall into three areas of use—human-to-

human (in the form of telephony, and most recently, identity applications), human-to-machine (for example, banking, electronic transactions involving a service issuer and its customers), and machine-to-machine (for example, monitoring hospital conditions or military tracking of enemies). "This single ID card can replace several individual cards issued in a decentralised manner by ad-hoc agencies. It can work as a multi-purpose card by merging all other ID cards and hold multiple application data securely without any interference between the service applications," explains Sudhakar N., project manager, Strategic Outsourcing Services.

However, a smart card by itself plays a very small role in this scheme; smart card terminals, communication networks and application software also play a major role.

Major application areas for these smart cards are automatic fare collection (AFC) at tolls, mobile communications, identification, banking and financial usage, retail, healthcare, etc. As per the government's guidelines, all states and union territories will have to compulsorily start issuing smart cards for driving licences (DL) and registration certificates (RC). Upgrading DL and RC books from paper to smart cards would result in high volumes. Many states such as